TANFAC Industries Limited: Fluorine Chemistry, HFC-32 Execution and the Price of Growth — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to TANFAC Industries Limited: Fluorine Chemistry, HFC-32 Execution and the Price of Growth: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: TANFAC Industries Limited: Fluorine Chemistry, HFC-32 Execution and the Price of Growth (IN)
Research Session Cutoff: 2026-11-13 • **Generated:** 13 Nov 2026, 08:00 AM PST
Core Verdict: REJECTED
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (10,678 words • ~69 min listen)

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SESSION PRICE

₹3,349.40

NEW CAPITAL VERDICT

REJECTED

CURRENT HOLDING ACTION

EXIT IMMEDIATELY — 55 shares across zerodha: 55 shares; market value ₹184,217.00; cost basis ₹173,945.55; recommend selling 55 shares and retaining 0 shares; unrealized P&L ₹10,271.45; portfolio weight 4.28%

STAGE POSTURE

VALUATION WATCH ZONE (CONDITIONAL)

₹2,933.00–3,031.10

SCENARIO TARGETS

Bear ₹1,300.00 / Base ₹2,800.00 / Bull ₹5,000.00

PREFACE & CORE THESIS

TANFAC is an integrated Indian fluorine-chemicals maker with a decades-old HF platform. It has completed HF and solar-grade DHF expansions and is close to commissioning a 20,000-TPA HFC-32 project. At ₹3,349.40 on November 13, 2026, the shares trade near 99 times trailing earnings while recent free cash flow remains negative after capex. The base value is ₹2,800 and the probability-weighted value is ₹2,790; new capital is REJECTED and the recommended action is to exit the existing 55 shares at the next available session.

PROLOGUE

Executive Thesis, Dual Verdict & Opportunity Matrix

> *"Deepening means staying within fluorine chemistry and moving up the value chain."*
>
> — TANFAC FY26 ANNUAL REPORT

Let us close the opening chapter the way an institutional analyst would across a desk: the product is understandable, the factory logic is coherent and the capital question is still open. A molecule called HF moves through TANFAC's chain into products with very different economics. Some are mature, some require purity qualification, and one major refrigerant project has not yet delivered a full commercial year. The company's strength is its platform; its risk is that investors may pay for tomorrow's mix before tomorrow's cash has arrived.

The blind-first assessment came before the market price was unlocked. It found a conditional business, not a broken one: technical experience, integration, qualified solar-grade DHF and strategic parent linkages support the case; cyclicality, pass-through lags, working capital, safety obligations and capex temper it. After that judgment was locked, we reviewed the same-session price, tape and valuation. This ordering protects you from letting an attractive chart or a high multiple rewrite what the operating records actually say.

At ₹3,349.40, a trailing multiple near 99 times makes the next phase matter enormously. Management has raised its FY27 revenue guide and expects fast FY28 growth with higher margins if HFC-32 operates at scale. Our midpoint assumptions yield an illustrative FY28 EPS close to ₹119; a 23.5-times multiple gives about ₹2,800. The reverse DCF reveals an even larger requirement for future free cash flow. We therefore reject new capital despite a credible bull case. If the evidence later improves, the judgment can change; it should not be changed in advance of the evidence.

For you as the current holder, the numbers are concrete: 55 shares, ₹184,217 market value, 4.28% portfolio weight. The weighted value is below CMP, so we recommend exiting all 55 shares at the next available session after checking the live quote. The HFC project remains a

possibility, but current valuation and cash-conversion risk do not justify retaining the position. No broker order is placed. (same-session positions ledger)

Notice how the two actions use different evidence. For this dossier, the valuation math does not support a different answer for old and new capital. The existing weight is 4.28%, but the base and weighted values are still below the current close, and the margin-stress case is lower again. The recommended sale is a valuation decision, not a claim that the plant has failed. If the project proves its economics and price later offers a margin of safety, the company can be re-underwritten from cash rather than defended because it was already owned. (same-session positions ledger)

Keep the dates beside every conclusion. The audited operating base ends March 31, 2026; the most recent company results in this dossier cover the half-year to September 30; the market and positions snapshot is November 13. TheWrap's Stage 2 dashboard was last updated November 8, and its label is not silently substituted for the later daily classification. Annual-report history before FY23 is a rounded secondary structured series, explicitly distinguished from audited FY25 and FY26 values. These date boundaries are not clerical details. They tell you which claims are historical, which are management expectations, and which are measurements from the exact session used for the investment decision.

> **NARRATOR'S REFLECTION — WHAT WOULD EARN A HIGHER PRICE?**
>
> A finished plant is not the finish line. Ask for utilization, realized margin, working-capital normalization and cash conversion; only then decide whether the market's long-duration growth assumptions have become facts.

CHAPTER I

A Fluorine Platform Through Several Operating Eras

> *"We have built a strong platform; our task now is to deliver on its potential."*
>
> — AFZAL MALKANI, MANAGING DIRECTOR

When you study TANFAC, begin with the molecule and the site, not with the latest growth narrative. The company's industrial identity has been built around hydrofluoric acid, sulphuric acid and derivatives made at Cuddalore. That continuity matters because it explains why later moves into higher-purity DHF and refrigerant gas are adjacent extensions of existing process knowledge. It does not make the new products risk-free: a downstream product brings customer qualification, operating stability and commercial ramp requirements of its own.

You should also distinguish an operating history from a complete historical dataset. The independent retrospective account describes a genuine severe downturn associated with the 2007 global crisis and Chinese competition, but it is not an audited series. The better evidenced recent chapter begins with Anupam Rasayan's 2022 entry as co-promoter, followed by the HF expansion and solar-grade DHF commissioning. Management's words –"our task now is to deliver on its potential"–are a useful test to carry forward: the platform is established, while delivery of the newest projects still has to be demonstrated in operating results.

You should read the company's life in layers. The first layer is industrial continuity: Cuddalore, hydrofluoric acid, sulphuric acid and fluorine derivatives. The second is capability accumulation: liquefaction, specialty fluorides, captive power and later R&D and pilot facilities. The third is the recent downstream turn, which depends on the old platform but adds new qualification and commercialization demands. This sequence makes strategic sense because the company is not leaving its chemistry behind; it is trying to create more value from it. But coherence of direction is only the beginning of an operating case. For each new layer, ask whether the asset exists, whether customers have qualified it, whether output is stable, and whether cash is being earned after the capital is committed.

The historical record also teaches you not to use a peak year as the default. The CEO Magazine retrospective attributes a severe downturn and minimal operations to the combined effect of the 2007 global crisis and Chinese competition. That account is not an audited dataset, so do not turn it into a fabricated revenue curve. It is still a useful stress case: fluorochemical demand can contract or shift, and competitors can alter market economics. In more recent years, FY25's unusually favorable realizations lifted margins; FY26 brought higher raw-material costs and depreciation on newer assets. The business can expand physically while its margin profile normalizes.

When you examine the Anupam Rasayan era, separate the enabling conditions from the outcome. A co-promoter with fluorine expertise and customer reach may help TANFAC develop products and execute projects. The HF expansion and solar-grade DHF commissioning provide concrete evidence of delivery. The annual report's revenue point for FY21 and four-year FY23–FY26 figures show substantial recent scale growth, but the record supplied here does not contain a decade of audited financial statements. An institutionally careful account says exactly that: the recent platform has grown, while the complete pre- and post-cycle financial picture is unavailable in the allowed evidence.

Your best historical question is therefore not "How fast did it grow?" but "Under what conditions did the growth occur, and what had to be true for it to continue?" FY25 shows how a temporary supply-demand gap can raise realizations; FY26 shows how input costs and depreciation can dilute the conversion of extra revenue into profit. If a new product is not yet commissioned or qualified, it cannot automatically offset a downturn in a core line. Use the past as a set of conditions and counterfactuals, not as an extrapolation template. Management's phrase—"our task now is to deliver on its potential"—is a fair summary of the gap between a credible platform and a completed growth cycle.

One way to test the historical story is to compare the quality of each milestone, not just the date. An installed HF unit gives capacity; a high utilization figure shows it is being used; record production says the operating system handled that volume; cash generation tells you whether the activity funded itself. For the solar-grade DHF line, commissioning is followed by customer trials, order coverage and later debottlenecking. For HFC-32, the evidence in the supplied period reaches construction progress and supply arrangements, but not

operating output. These are different rungs. If you compress them into “the company has transformed,” you lose the practical distinction between the proven base and the next proof point.

You can also test whether the new phase genuinely diversifies the old one. The strategy retains common fluorine chemistry and draws on captive HF, which offers technical adjacency. But solar wafer customers, HVAC buyers and specialty chemical customers do not have identical approval processes or demand cycles. A solar-grade line can depend on cell manufacturing capacity; a refrigerant line depends on cooling demand and the applicable HFC phase-down framework; commodity acids remain exposed to industrial cycles. The portfolio may broaden end markets while still concentrating operationally in one chemistry, one site and a set of related feedstocks. That is a more precise claim than saying the business is simply diversified.

A final historical discipline is to keep corporate chronology separate from operating continuity. The incorporation-year discrepancy in the permitted company and ICRA accounts does not change the better-supported fact that commercial manufacturing at Cuddalore began in 1985. Likewise, a later ownership change is an event, while improved operation is a claim that should be tested against production, utilization and cash. The available evidence supports both the company’s description of a reset after 2022 and the independent profile’s account of prior disruption, but it does not supply a complete annual bridge between them. You can tell that history honestly without smoothing the uncertain years into a seamless narrative.

The transition also needs a disciplined definition of “cycle.” Here it means changes in industrial demand, input spreads, utilization and operating profitability—not movements in the company’s shares. The permitted evidence includes an attributed historical downturn, a recent exceptional realization period and later margin normalization. It does not include enough annual data to measure a complete cycle statistically. You can still compare the contrasting operating regimes, but keep the 2007 account qualitative, use the audited FY23–FY26 financial series for numerical comparison, and label management explanations as management explanations.

NARRATOR'S REFLECTION • REFLECTION — CONTINUITY VERSUS PROOF

Which parts of the growth story are extensions of operating capabilities already proven at Cuddalore, and which still depend on qualification, commissioning or customer ramp? Keep those two lists separate when you assess evidence.

CHAPTER II

One Fluorine Stream, Many Customer Applications

> *"Our focus is not simply to add more products to the portfolio, but to develop value-added products that meet specific customer requirements in terms of purity, consistency and application performance."*
>
> — HEMANGO GUPTA, CHIEF EXECUTIVE OFFICER, Q2 FY27 CALL

Think of the portfolio as a conversion ladder built around hydrofluoric acid. TANFAC starts with feedstocks and upstream acids, makes AHF and diluted grades, and uses part of that stream in products with tighter purity or application requirements. The ladder offers a credible route to value addition, but it is not a disclosed segment model: you cannot see audited product margins or identify which line contributes how much profit. The company explicitly reports one fluorine-chemicals operating segment.

When you picture the customer, keep the example honest. A wafer-fabrication customer may need a high-purity chemical qualified for etching and cleaning; an HVAC manufacturer may need refrigerant supply and predictable specifications. These are end-market archetypes derived from disclosed applications, not claims about named TANFAC buyers. Long-term agreements and customer qualification matter, but they do not substitute for disclosed product-level revenue, realized margins, or shipment histories.

Imagine a customer opening a process-qualification file rather than an investor presentation. A photovoltaic wafer maker needs an etchant and cleaner whose impurity profile is tight enough for its process. The product in the disclosed example is solar-grade diluted hydrofluoric acid. TANFAC begins with its captive HF capability, develops the required high-purity grade, submits samples for evaluation, and reports successful trials and certification with an Indian wafer manufacturer. The next commercial step is scheduled supply against orders that the company says extend through FY29. That is an end-to-end archetype grounded in public disclosures; the buyer is not named here, and the filings do not disclose shipment-level volumes, customer-specific timing or the resulting product margin.

Now consider an HVAC producer as a second archetype. Its problem is refrigerant availability for room air-conditioning or light-commercial cooling. The exact planned product is HFC-32. TANFAC intends to make it at Cuddalore using its fluorine platform, with an announced 20,000-tonne annual facility and a stated Q3 FY27 commissioning target. The management call discusses qualification and customer evaluation, and the company reports long-term supply arrangements covering a portion of planned capacity. Formula-based arrangements pass through raw-material movements over a defined period, but the public evidence does not disclose every contract term, the buyers protected by confidentiality, or the product's operating margin. Do not present the planned workflow as a current shipment.

The steel, glass, pharmaceutical and agrochemical examples are useful for understanding applications, but they do not create a product-level income statement. Potassium fluoride is a fluorinating agent; BF3 complexes act as catalysts; aluminium fluoride is used in aluminium smelting; sodium silicofluoride has industrial uses in glass, ceramics and abrasives. Industrial diluted HF serves pickling and surface treatment. The disclosures establish that these products exist and identify some uses. They do not tell you which one produces the highest contribution, whether a customer relationship is exclusive, or the length of an individual approval cycle.

This is where analytical restraint becomes part of the work. TANFAC reports a single fluorine-chemicals segment in India. The 95% domestic and 5% export split is geographic, not a product split; capacity is not revenue; order value is not profit; and internal consumption of HF is not an external sale. You may discuss the strategic route from feedstock to higher-purity grades and the market applications, but you cannot allocate group profits among these lines without data the company has not supplied.

When a company presents many product names, you may feel that diversification is already proven. Pause and ask whether the names correspond to independent economics. TANFAC's product ladder shares HF as a core molecule; some HF is captive feedstock, and several specialty fluorides sit within a single aggregate capacity category. That arrangement can produce genuine operating synergies, but it also means capacity figures overlap in the chemistry chain. The company's one-segment disclosure is the financial boundary you have

to respect. Until product-level sales and profit reporting appears, describe the portfolio breadth without manufacturing a contribution ranking.

The archetypes also help you identify what would count as evidence. For the wafer customer, later confirmation could include repeat orders, capacity utilization after debottlenecking, timely delivery and collection of receivables. For the HVAC customer, evidence begins after plant commissioning and buyer qualification; it then extends to actual output, reliable specifications and recurring supply. The company has described formula pass-through with a lag, but not every term or buyer. In each case, a successful first trial is encouraging, but it does not answer whether the product scales or earns an attractive contribution. Keep the workflow customer-centered and the outcome evidence-based.

For a buyer, a chemical specification is part of the product, not a decorative label. Management emphasizes purity, consistency and application performance, and the solar-grade disclosure gives a concrete high-purity use case. That tells you why technical qualification can shape the commercial relationship. It does not tell you how long each customer approval takes, what rejection rates are, or how much additional service is required per molecule. Treat qualification as a process capability supported by the reported trials, and use repeat commercial supply as the next evidence. This preserves the customer's perspective without inventing procurement terms or buyer identities.

A product taxonomy is useful only when its categories remain stable. The annual report's portfolio table describes applications molecule by molecule, while the financial statements consolidate them into one fluorine-chemicals segment. Later presentations add products and variants, but do not turn those additions into separately reported businesses. This means the product map can help you understand technical adjacency and customer need, while the audited segment note governs financial attribution. If product names change or the portfolio expands, compare the reporting boundary first; do not infer a new revenue stream simply because a new item appears in a presentation.

NARRATOR'S REFLECTION • REFLECTION — PRODUCT STORY VERSUS PRODUCT ECONOMICS

For each product, can you identify the use case, the operating status, and a disclosed revenue or profit contribution? Here the first two are documented for several lines; product-specific financial attribution is not. Do not fill that gap with capacity or order value.

CHAPTER III

From Feedstock to Customer: Integration, Logistics and Cash

> *"These milestones reinforce our position as a trusted and reliable partner for global customers."*
>
> — HEMANGO GUPTA, CHIEF EXECUTIVE OFFICER, Q4/FY26 CALL

When you follow a molecule through this business, integration is tangible: sulphuric acid and HF are produced in-house, and HF is both a saleable product and the feedstock for downstream grades. The Cuddalore location, captive utilities, hazardous-material facilities and port access support that chain. Yet physical integration does not eliminate commercial friction. Sulphur and fluorspar costs can move before contractual pass-through catches up, and HF handling and transport carry regulatory and safety obligations that ICRA treats as material constraints.

The audited FY26 cash bridge is a useful discipline against headline growth. Revenue from operations was ₹711.07 crore; net cash from operating activities was ₹43.40 crore, while profit after tax was ₹70.14 crore and cash purchases of property, plant and equipment were ₹82.45 crore. Working-capital changes consumed ₹52.84 crore before tax payments, and the company deployed cash into capacity. You should read growth, cash conversion and capex together: an integrated plant can create a stronger product platform while absorbing substantial cash during expansion.

Walk the chain from the supplier's shipment to the customer's process. Fluorspar is imported from several countries; sulphur is sourced domestically. TANFAC converts those inputs into sulphuric acid and hydrofluoric acid, uses captive power and waste-heat recovery, and then sells or consumes HF in downstream chemistry. A solar-grade customer's problem is not simply "buy acid": it needs a specified high-purity grade that passes its own process qualification. TANFAC reports successful trials with an Indian wafer maker and contracted orders. That makes the example concrete without naming the buyer or inventing a shipment quantity.

The refrigerant route has a different set of gates. The planned HFC-32 facility uses the company's fluorine platform, but the full route also depends on dichloromethane supply, project completion, regulatory conditions, customer qualification and stable production. The latest call described substantial construction progress and evaluation work; ICRA explicitly identified commissioning within cost and schedule, operating stabilization and timely ramp-up as monitorables. This is why you should label the refrigerant workflow "planned" until the facility is commissioned and repeat sales are evidenced.

TANFAC's control points are real but bounded. Captive sulphuric acid, in-house HF, site utilities and a single integrated location reduce some dependence on outside intermediates. The company has infrastructure for acid storage, cylinder filling, effluent treatment and emergency response, and ICRA notes a valid transport permit for HF. Yet imported fluorspar remains a logistics exposure; sulphur and fluorspar cost shifts can arrive before customer pass-through; hazardous transport can face scrutiny; and higher buffer stocks can tie up cash. Integration lowers selected risks, not all risks.

The audited FY26 bridge makes the cash consequence visible. Materials and inventory changes, employee costs, energy and other expenses absorb much of each revenue rupee before depreciation and finance costs. Operating cash flow improved from FY25 but remained below PAT, while cash PPE purchases were larger than operating cash flow. The supply chain is therefore both a manufacturing advantage and a financing requirement: keeping feedstock available, paying for safe handling and completing new capacity all compete for cash. Use the annual statement, not a quarterly run rate, to understand that funding burden.

The same discipline applies to logistics. The disclosed port proximity, import origins and domestic sulphur sourcing establish the broad transport architecture, while the acid tanks, filling station, emergency response and environmental systems show the site's specialized handling requirements. The records do not reveal the carrier network, packaging mix by product, freight cost per tonne or customer delivery schedule. Your narrative can still be specific: raw materials arrive from a multi-origin chain, are converted at Cuddalore, and products move to domestic and export users under disclosed contract arrangements. It should stop before claiming a distribution model that the company has not described.

In a chemical business, a buffer is neither automatically prudent nor automatically wasteful. TANFAC's management said it raised fluorspar cover when shipping lead times and geopolitical disruptions created continuity concerns. The same call connected the higher inventory to a rise in payables and said the company expected the balance to move back toward normal cover as conditions allowed. That is a management explanation, not a completed normalization. Later filings should show whether inventory days and creditor days recede together, whether production continues without interruption, and whether the cash conversion cycle returns toward the FY26 level.

A useful cash-flow distinction is between operating costs recognized in the income statement and cash tied up in timing. The audited FY26 statement records an inventory-related credit in calculating cost of materials and separately shows working-capital uses across receivables, inventories and payables. The result is that gross profit and CFO answer different questions: gross profit describes production economics under accounting recognition, while CFO also reflects collection, stockholding, supplier terms and tax payments. The company's H1 buffer-stock explanation makes this difference especially relevant. You should not infer that a strong production quarter immediately translates into equivalent operating cash.

The delivery mechanism deserves the same evidentiary care as the production route. Formula pass-through is disclosed for long-term contracts, with raw-material movements transferred over a defined cycle; management describes a lag of roughly 30–45 days for certain input changes. This can reduce long-term spread exposure while leaving timing exposure between purchases and customer resets. The contract is therefore not a guarantee of unchanged quarterly margins. Nor does the public information show that every product and every buyer has identical terms. The defensible statement is that some contracted arrangements include formula-based pass-through, with an observed lag described by management.

> **NARRATOR'S REFLECTION • REFLECTION — FOLLOW CASH ALONGSIDE MOLECULES**
>
> Where did the operating cash go in FY26: into working capital, tax, or plant construction? The audited cash-flow statement answers more than a revenue chart does. Keep its annual period intact when comparing it with profits or capex.

CHAPTER IV

Where the Moat Holds—and Where Competition Bites

> *"The expertise required to handle hydrofluoric acid safely raises the barrier to new entrants."*
>
> — TANFAC FY26 ANNUAL REPORT

You can think of the moat in layers. The oldest layer is know-how in HF chemistry and hazardous-material operations. The next is integration: sulphuric acid, HF and downstream products share a manufacturing platform. The newest layer is customer qualification in high-purity grades and refrigerants. Each layer can protect reliability and deepen customer relationships, but the protection is uneven: commodity acids remain exposed to supply-demand cycles and imports, while a qualified specialty grade can be harder to displace. The company's disclosures support this distinction better than a single broad "leadership" label.

A thoughtful underwriting of the moat has to include the failure mode. The retrospective profile recalls minimal operations after the 2007 global crisis and Chinese competition; ICRA now highlights competition, spread volatility, cyclical end users, forex, environmental rules and HF transport. On the other hand, the company has built a first-mover solar-grade capability and signed long-term supply arrangements. Your question is not whether one side exists, but whether the newer differentiation, customer qualification and integration can make the business less vulnerable to the older cycle.

When you test the moat, begin with the resource that is hardest to improvise: years of operating experience with hydrofluoric acid and the systems needed to handle it. A safe, integrated site has value because HF is both a hazardous product and the foundation for downstream chemistry. TANFAC's captive sulphuric acid, HF capacity, waste-heat-supported power and specialized site infrastructure make that capability visible. Yet integration is not immunity. Fluorspar is imported, commodity products face domestic and Chinese competition, and pass-through can lag raw-material movements. Your task is to identify

which cost or reliability risks are reduced and which merely move to another stage of the chain.

Solar-grade DHF provides a more specific moat hypothesis. The company reports an Indian first-mover position, successful quality trials and contracted orders. The customer must accept purity and consistency for a sensitive wafer-cleaning process, so qualification experience can create a switching barrier. But public information does not establish exclusivity or a permanent technological lead. If another producer invests and qualifies, the advantage must be reinforced by product consistency, service, scale and customer trust. Watch for repeat sales and order renewal rather than treating the initial qualification as a final outcome.

The risk counterfactual is more informative than a list of strengths. If commodity HF spreads weaken, integration may soften cost pressure but does not create demand. If fluorspar costs or shipping times rise, buffers protect the plant but absorb cash. If a competing solar-grade producer qualifies, first-mover status must be defended through execution. If refrigerant rules alter allowable production, a completed HFC-32 plant still needs a workable regulatory path. Each stress maps to a disclosed exposure in ICRA, company calls or policy context.

You should therefore assign no single moat score to all product families. AHF and sulphuric acid face commodity economics; solar-grade DHF has a more demanding qualification threshold; specialty fluorides depend on molecule-specific customer adoption; HFC-32 requires the plant, regulatory conditions, qualification and market ramp to converge. The firm's advantage is strongest where integration and process knowledge meet a high-purity or hazardous handling requirement. It is weaker where market capacity, imports or policy set the outcome. That distinction is the difference between an evidence-led moat thesis and a company slogan.

Try to imagine the competitor who would most threaten each line. For commodity HF, it may be an existing domestic plant or import supply that changes the market balance; integration helps TANFAC's cost and reliability position but may not prevent a lower market price. For solar-grade DHF, it is a new producer willing to invest in purification and customer qualification; process experience and approvals may delay entry, but could be replicated. For

HFC-32, it is a producer with approved capacity and dependable access to customers under the applicable policy framework. The strongest moat response is product-specific evidence, not a generic appeal to decades of experience.

Use the external links as different lenses, not as votes. The company page sets out the official platform story. The retrospective profile provides one account of the historical downturn, which you should label as retrospective. ICRA is useful because it explicitly records both credit strengths and constraints, including competition, spread volatility, execution and transport. The public-policy and NRDC links explain why HFC demand can grow even as consumption is phased down: the transition has a schedule and regulatory structure, not a simple one-way demand curve. Together these sources help frame questions; none supplies undisclosed company shipments or product margins.

The policy links matter because refrigerants do not compete on chemistry alone. India's Kigali commitment places HFC consumption on a phase-down path; the shift can encourage lower-impact alternatives while the detailed schedule and production framework still shape how capacity can be used. A low-GWP product may participate in that transition, but regulatory alignment does not erase competition, customer qualification or project execution risk. ICRA's report is useful here because it treats environmental policy, customs, forex, transport and raw-material spreads as separate business constraints. Keep them separate in your assessment rather than using "green demand" as a complete answer.

The most durable evidence will be repeated customer acceptance under ordinary operating conditions. A successful trial shows a technical threshold was met; contracted orders show some forward demand visibility; actual fulfillment and repeat purchases would show that the supplier relationship is working over time. The sources provide the first two for solar-grade DHF, but they do not publish buyer-specific renewal records or product profitability. For HF and sulphuric acid, utilization and cost control matter more than a high-purity qualification story. For HFC-32, commissioning and policy eligibility come before any durable commercial moat can be judged.

NARRATOR'S REFLECTION • REFLECTION — DURABLE CAPABILITY OR TEMPORARY SCARCITY?

Which barrier would remain if a competitor invested in similar equipment: process safety experience, customer qualification, cost integration, or merely first-mover timing? Treat the last as the least durable unless it is reinforced by the others.

GLOBAL PARALLEL • INDIA, FY2025–26 • NAVIN FLUORINE INTERNATIONAL LIMITED (MOAT_SCALING)

Navin also makes fluorine chemicals. It built a larger specialty and contract-manufacturing business. It used process know-how, dedicated plants and customer programs. This shows how a fluorine maker can move beyond basic inorganic fluorides. The model works only when buyers approve products and keep ordering. FY26 revenue ₹3,313.90 crore (+41.05% year over year), operating EBITDA ₹1,081.68 crore (+102.67%), EBITDA margin 32.64% (up 992 basis points) and PAT ₹663.55 crore (+129.94%). The reported figures are summarized by a filing service and should be checked against the linked issuer annual report. TANFAC can learn from this path, not its size. The lesson is to turn captive HF and customer tests into repeat DHF and HFC-32 sales. Navin's results are not a TANFAC forecast.

GLOBAL PARALLEL • INDIA, FY2023–FY2026 • SOLARA ACTIVE PHARMA SCIENCES LIMITED (FAILURE_BASE_RATE)

Solara makes active drug ingredients, not fluorochemicals. It shows what can happen when one product line weakens in a plant-heavy business. High working capital and debt can force new equity, even when customer links remain. A later recovery does not erase the earlier risk. FY24 reported loss ₹566.96 crore and debt near ₹999 crore at March 2024; CRISIL later described ₹445 crore of rights-issue equity over two years and debt of ₹500–530 crore by May 2026. Operating margin eased from 16.23% in FY25 to 13.64% in FY26; the Ibuprofen segment margin was about −18% in FY26. CRISIL's rating history moved through BBB+/Negative and BBB/Negative before its June 2026 upgrade to BBB+/Stable. The shared risk is cash and capacity, not the product. TANFAC's orders cannot replace cash collection or stable margins. Track the HFC-32 ramp, working-capital days and CFO versus PAT. Watch for weak new products. Contracts alone do not prove a moat.

CHAPTER V

Leading Indicators, Capacity and Execution Evidence

> *"Our priorities over the coming quarters will be to strengthen our product capabilities, translate product development into commercial opportunities and ensure disciplined execution."*
>
> — HEMANGO GUPTA, CHIEF EXECUTIVE OFFICER, Q2 FY27 CALL

You should audit execution one gate at a time. TANFAC has evidence of delivering the HF expansion and both initial solar-grade DHF phases; the latter also received a nominal-capex debottlenecking that lifted reported capacity to 25,000 tonnes per year by Q2 FY27. The refrigerant project is different: the latest call described substantial progress, but commissioning and customer ramp were still ahead. A target date is not a completion certificate, and a certificate is not yet stable commercial output.

The leading indicators help you distinguish demand from economics. High utilization in sulphuric acid and HF, solar-grade order coverage, qualification progress, product ramp and working-capital discipline are observable. Market TAM figures are only contextual estimates. In H1 FY27, revenue grew faster than PAT and margins remained below the prior-year comparable period; management's explanation combines input costs, higher realization denominators and initially subdued new-product margins. Keep those causes separate, and test each against subsequent reported utilization, cash conversion and margin data rather than accepting guidance as delivery.

You can turn the expansion narrative into a ledger of gates. The HF unit crossed commissioning and reached a reported 95% utilization in FY26. The solar-grade DHF plant crossed commissioning, secured disclosed order coverage and later gained a debottlenecked capacity increase to 25,000 tonnes. The HFC-32 project had a target date, substantial committed spend and reported construction progress, but the evidence supplied in November still placed it before commercial operation. A plan for still more HF or solar capacity sits one rung earlier. Record the rung for each project, then update only when the next public operating milestone arrives.

Funding and project progress are connected but not identical. The company disclosed a project envelope of approximately ₹495 crore, with management separating HFC-32 and associated value-added products, then reported equity raises during H1 FY27 and substantial project commitment by September. This supports a claim that financing and construction were progressing. It does not tell you the full eventual cost, the time needed to qualify every buyer, or the cash the plant will generate after startup. ICRA specifically names schedule, cost, stabilization and sales ramp as monitoring points. Those are not formalities; they are the operating variables that determine whether capex becomes productive capacity.

Use TAM carefully. Company materials cite fast projected growth in Indian fluorochemicals, HF, solar-grade DHF and HFC-32. The demand pools make a strategic rationale plausible, especially where solar manufacturing and cooling capacity are expanding. Yet the market estimate is not TANFAC's served market, and a projected endpoint is not a booked order. The DHF order book speaks to a defined portion of initial capacity; the HFC project has agreements for a portion of planned output, with regulatory and qualification conditions still relevant. The most useful operating evidence remains shipped product, customer qualification, repeat orders, utilization and cash.

Finally, treat management's promise-versus-delivery record with fairness. The company has shown project execution on the HF expansion and solar-grade DHF phases. It also improved working-capital days in FY26. At the same time, early new products were reported at subdued margins, H1 FY27 margin percentages remained below the prior-year period, and HFC-32 had not yet completed its ramp in the supplied record. Neither blanket skepticism nor automatic acceptance is warranted. You have enough evidence to recognize completed gates and enough open gates to keep the future conditional on delivery.

An operating dashboard becomes more valuable when each indicator has a failure interpretation. High utilization in the core may indicate demand and execution, but can also leave little spare capacity for maintenance. An order book may reduce demand uncertainty, but it does not guarantee delivery or collection. A lower margin percentage may partly reflect a larger revenue denominator while absolute gross profit per tonne is stable, as management said for AHF; it may also signal a lag in pass-through or the cost of introducing products. The

job is to triangulate utilization, absolute profit, margin percentage, project status and cash conversion, not to select the one indicator that best supports a growth narrative.

Where management guidance varies, preserve the uncertainty instead of smoothing it away. In the November 2026 call, management offered different utilization expectations for HFC-32 across answers, including a figure around 95% and a range around 85–90% for the following year. That spread is a forecast uncertainty; it is not an actual utilization result. The same principle applies to strong-H2 expectations and market-size forecasts. Later financial results can resolve whether the project started on time, how quickly it stabilized, and whether customer orders translated into volume. Until then, label guidance as management's current expectation and keep it separate from completed execution.

A useful update protocol is to ask one question per reporting period. Was the project commissioned? Did the newly installed line qualify its buyers? What share of capacity operated, and for how many months? Did the product contribute to absolute gross profit, or did only revenue rise with input pass-through? Did the working-capital cycle normalize after precautionary inventory? The supplied sources answer some of these for HF and solar DHF, but not yet for HFC-32. If each new filing is read against the same questions, the narrative can advance only when evidence advances; it will not confuse an announced target with a demonstrated operating result.

Management's KPI commentary itself identifies reasons to avoid single-cause explanations. Raw-material prices and pass-through timing affect margins; higher realization can lower margin percentage even when gross profit per tonne is described as stable; new products may start at less-than-optimal margins; and higher power, fuel and freight costs were reported in H1 FY27. These drivers may overlap. The next useful evidence is a consistent bridge between revenue, volume, gross profit, operating expense and cash, not a repetition of one factor. The supplied filings do not provide a product-level bridge, so the causal account remains partly at group level.

You and I should now write down the new bar management has set, then refuse to confuse the bar with an achievement. On the November 2026 call, the Managing Director raised FY27 revenue-growth guidance to 35–40% from 30%, and described FY28 growth of 55–60% over FY27 with a 24–26% EBITDA margin as HFC-32 moves into full-year production.

That outlook has an operational sequence behind it: finish the plant, commission safely, qualify customer supply, reach utilization, earn the stated margin and collect the cash. If any link slips, the later links move with it. Your scorecard should keep each milestone separate, so one strong revenue quarter cannot be used to declare that the full project economics have arrived.

> **NARRATOR'S REFLECTION • REFLECTION — THE EVIDENCE LADDER**
>
> For every expansion, what is the latest evidenced gate: announced, funded, under construction, commissioned, qualified, utilized, or profitable? TANFAC's supplied record reaches different rungs for HF, solar-grade DHF and HFC-32. Do not collapse them into one growth claim.

CHAPTER VI

Twelve Fiscal Years of Cycles, Cash and Capital

> *"The pattern of the cash flows reflects the nature of the year."*
>
> — TANFAC FY26 ANNUAL REPORT

Read TANFAC's four-year financial record as a cycle plus an investment program. The top line accelerated from FY25, but the FY25 profit peak did not repeat in FY26. Higher sulphur costs and new-asset depreciation compressed profitability even as production and revenue reached records. That distinction matters: a growing sales base can coexist with lower earnings when spreads normalize and the depreciation charge catches up with commissioned plant. The secondary extract now supplies twelve annual observations from Mar 2015 to Mar 2026, enough to examine multiple cycles; it is rounded and not audited, so use it for pattern recognition and reconcile FY25/FY26 to primary filings.

Then follow earnings into cash and capital. FY26 operating cash flow of ₹43.40 crore was below PAT of ₹70.14 crore, while PPE cash purchases were ₹82.45 crore. Working capital consumed cash, and the balance sheet carried net debt at year-end before the subsequent equity raises. The June QIP and September preferential issue strengthened equity and funded expansion, while increasing the share base. In your analysis, keep operating growth, margins, EPS, capital raising, cash conversion and product ramp in separate columns; each answers a different question.

Your financial review should begin with the shape, not a single CAGR. The disclosed FY23–FY26 series shows a flat revenue transition into FY24, a sharp rise in FY25, and further growth in FY26. The margin sequence peaks in FY25 and then compresses in FY26. Management links FY25's unusually favorable realization to a temporary supply-demand gap; FY26 adds raw-material pressure and higher depreciation from newly commissioned assets. The result is a clear separation between physical expansion and earnings conversion. Revenue growth is real in the reported data, but it did not preserve FY25 profitability.

Next, follow cash through the audited statements. FY26 operating cash flow of ₹43.40 crore did not match the ₹70.14 crore PAT; working capital absorbed ₹52.84 crore and direct taxes

used cash. PPE purchases were ₹82.45 crore, while net investing outflow was larger because investments also moved. FY25 had still lower CFO relative to PAT and higher PPE purchases. If you looked only at profit, you would miss how inventory, receivables, taxes and construction compete for funds. If you looked only at total investing cash flow, you might confuse securities transactions with plant spending.

The balance sheet changed materially after the fiscal year. At March 2026, TANFAC reported ₹46.6 crore net debt, current borrowings of ₹92.8 crore, cash and equivalents of ₹21.1 crore, and equity of ₹373.2 crore. It then raised approximately ₹250 crore in a QIP and roughly ₹100 crore in a preferential issue during H1 FY27. By September, equity was ₹736.8 crore, cash ₹99.1 crore and borrowings were split between current and non-current classifications. The strengthened funding base is relevant to project execution, while the larger share count changes the per-share lens. Do not treat the equity raise as operating profit or the post-raise balance sheet as the FY26 year-end position.

Per-share analysis deserves its own row. FY25 EPS of ₹44.18 fell to ₹35.16 in FY26 as PAT declined; the annual report says the weighted-average share count was unchanged across those two years after the split adjustment. In H1 FY27, the reported EPS was ₹17.35 versus ₹18.31, while PAT was roughly flat, and new shares from the two raises were included in weighted-average shares. Those comparisons separate the earnings numerator from the share denominator. They do not establish future dilution or operating quality on their own; they show why sales, profits and per-share results should not be blended.

The longer secondary record now lets you compare FY15–FY26, including the FY19 peak, FY20–FY21 contraction, FY22 step-up, FY23–FY24 plateau, and FY25–FY26 expansion with margin normalization. It remains a structured secondary series rather than a decade of audited annual reports; the retrospective downturn account adds qualitative context, not missing audited values. The resulting conclusion is stronger but still bounded: the company has moved through different sales, margin, debt and cash-conversion regimes, while the precise pre-FY23 statement details and product-level economics remain unavailable in primary form.

You can make the cash-quality discussion more exact by following the FY26 indirect-method reconciliation. The audited statement starts with profit before tax and comprehensive

income, adds depreciation and other non-cash or investment-related adjustments, and reaches operating profit before working-capital changes of ₹117.24 crore. Receivables, inventory, payables and provisions then consume ₹52.84 crore; net taxes paid consume another ₹21.00 crore, leaving ₹43.40 crore of operating cash. The company simultaneously spent ₹82.45 crore on property, plant and equipment, with that line including CWIP movements, advances and capital creditors. This is a transparent accounting bridge, not an estimate of maintenance capex or future free cash flow.

Balance-sheet dates must also stay aligned. The March net-debt figure belongs to the pre-QIP fiscal year-end. The June QIP and September preferential issue materially increased equity; by September, borrowings were divided between current and non-current categories and cash and investments were higher. The company described its H1 net-debt position as negative, but a reader should not subtract selected balance-sheet categories using an unstated definition. Use the company's stated description and the date-specific components, and leave the calculation method explicit if a later analysis elects to derive a net-cash figure.

Finally, recognize the denominator effect in per-share data. FY26 EPS fell with PAT from the FY25 peak, while the annual report says the weighted-average share count was unchanged in those fiscal years after the share subdivision. H1 FY27 brought new equity issuances and a larger share capital; its weighted-average EPS was lower year on year while PAT was approximately flat. This is neither a reason to ignore the funding nor a reason to attribute the entire EPS change to operations. Earnings per share contains both the earnings numerator and the share denominator. Keep each visible so that future project returns can be assessed on a per-share basis when the operating record matures.

Be precise about what the expanded history can answer. The Mar 2015–Mar 2026 secondary tables provide annual sales, operating profit, PAT, balance-sheet, cash-flow and ratio rows; the FY25/FY26 audited statements allow a useful check on rounding and line definitions. The long view reveals contractions, rebounds and margin variation that the recent four-year series alone obscured. It still does not provide audited primary statements for every year or explain every movement. Use the structured series to ask better cycle questions, and reserve precise audited claims for the years that can be reconciled.

In a forensic review, the secondary decade-scale history is useful precisely because it exposes variation: margins peak and recede, borrowing falls and later returns, and free cash flow turns negative during the latest investment phase. But a rounded ratio series is not a normalized through-cycle rate. The audited FY25/FY26 checks anchor the recent period; the company's one-segment disclosure still prevents product-level attribution. State both strengths and limits so that the longer horizon improves the analysis without creating false precision.

Finally, do not label every balance-sheet change as debt reduction or every capital raise as operational improvement. At FY26 year-end, the company had recorded borrowings and net debt while investing in capacity; after year-end, the QIP and preferential issue changed equity, cash and the funding profile. The September balance sheet also records term and current borrowings. A consistent comparison requires date alignment and a clear definition of net debt. Likewise, cash generated from operations is not free cash flow after project spending, and PAT is not cash available for distribution. Keep those measures distinct in the final forensic narrative.

You can now see a much fuller operating cycle. Sales rise from about 120 in FY15 to 222 by FY19, contract to 165 and 148 over FY20–FY21, then step to 320 in FY22. The next two years are nearly flat at 375 and 378; FY25 and FY26 then reach 557 and 711. The profit path is less smooth than the sales path: the secondary table records PAT of negative 5 in FY15, 36 in FY19, 17 in FY20–FY21, 53 in FY22, 52–56 in FY23–FY24, 88 in FY25 and 70 in FY26. The message is not a uniform compounder curve; it is a business with contraction, recovery, a plateau, and a capacity-linked acceleration.

You should read the operating-profit row with a definition check beside it. In FY25 and FY26, Screener's rounded "Operating Profit" of 131 and 114 is closer to audited PBDIT of 131.82 and 114.41 crore than to TANFAC's reported operating EBITDA of 128.86 and 112.06 crore. The difference is broadly the other-income component. That cross-check prevents a false conclusion that the source values exactly reproduce the company's EBITDA series. For earlier years there is no matched audited series in this task, so retain the source label and mark the data as secondary.

Cash quality changes with the investment phase. The structured table records positive CFO throughout, but its FCF row shifts from positive values through FY23 to negative 2 in FY24, negative 64 in FY25 and negative 39 in FY26. The last two figures reconcile closely to audited operating cash less cash PPE purchases. The decade-scale pattern therefore shows that positive operating cash can coexist with negative post-investment cash during capacity expansion. Do not present Screener's earlier FCF entries as audited, and do not call its cash-conversion ratio definitive while the label and formula description differ.

The working-capital data give you a more granular question than a single company-reported cycle. Receivables stretch in FY23–FY25 before easing in FY26; inventory days fluctuate sharply, and payable days shorten by FY26. The secondary cash-conversion-cycle row remains elevated at 115 days in FY26, while the annual report gives a 91-day working-capital cycle. That is not a reason to choose whichever number supports a preferred story. It is a reason to keep the definitions distinct, use the source's own labels, and explain that the secondary extract does not state enough methodology to bridge them.

Capital allocation also looks different over twelve observations. Borrowings decline from 69 in FY15 to zero by FY20, remain at zero through FY24, and reappear at 41 and 93 in FY25 and FY26 as fixed assets and construction work increase. The September 2026 balance sheet shows much higher CWIP, while QIP and preferential equity also enlarge the funding base and share count. This is a debt-and-reinvestment cycle, not simply a return to permanent leverage: distinguish the earlier deleveraging period, the recent funded capex, and the post-raise capital structure. The exact FY25/FY26 balance-sheet figures should remain anchored to audited filings.

ROCE in the secondary data is notably volatile, including unusually high points in FY19 and FY22 and a decline by FY26. The annual report's FY25/FY26 return measures are lower than the corresponding secondary values, confirming that formula differences matter. Ratios depend on the numerator, average versus closing capital and inclusion of cash or other assets; the provided Screener extract does not document those choices. You can use the series to observe volatility and identify periods for investigation, but not to calculate a single normalized return rate without consistent definitions and primary statement data.

Finally, the new series improves the long-cycle account without changing the evidence standard. You now have enough observations to describe sales and profit regimes, balance-sheet de-leveraging and renewed borrowing, investment-led negative FCF, working-capital variation and return-ratio volatility. You do not have audited full statements for every year, and you still lack product-level revenue and profit disclosures. Your synthesis should therefore be more historically informed, not more certain than the source allows. Use rounded rows to locate the questions; use audited reports to answer them where available.

> **NARRATOR'S REFLECTION • REFLECTION — EARNINGS QUALITY OVER A CYCLE**
>
> What changed between revenue, EBITDA, PAT, EPS and CFO across FY25–FY27? Which differences reflect operating spreads, which reflect depreciation and working capital, and which reflect new shares? If the permitted record cannot answer a ten-year question, leave it explicitly unanswered.

CHAPTER VII

Why the Price Is What It Is: Reverse DCF & Peer Comps

> *"FY28, on a conservative basis, given the full year production of HFC-32, the EBITDA margin will be around 24% to 26%."*
>
> — AFZAL MALKANI, MANAGING DIRECTOR, Q2 FY27 CALL

When you first see a P/E near one hundred, it is tempting to stop the analysis and call the shares expensive. That is a useful alarm, not a complete valuation. The company is investing in a product whose earnings may arrive after commissioning; trailing earnings are therefore backward-looking. But the opposite mistake is more common in a growth story: treating management's best-case year as though it were already in the accounts. Our job is to price the interval between what is operating and what is promised.

Let us build that interval carefully. FY26 revenue from operations was ₹711.07 crore. Management's November call raised FY27 revenue-growth guidance to 35–40%, then described FY28 growth of 55–60% over FY27 and a 24–26% EBITDA margin. The midpoint arithmetic gives roughly ₹1,540 crore FY28 revenue and ₹385 crore EBITDA. Our bridge then subtracts assumed depreciation, finance cost, adds modest other income and applies a tax rate to reach estimated PAT around ₹259 crore. The calculation does not say management promised those rupees; it says what their percentages imply under our assumptions.

At about 2.181 crore implied shares, that bridge yields EPS near ₹119. Apply 23.5 times—below the snapshot peer median because TANFAC has a smaller scale, lower public visibility and weaker demonstrated cash conversion—and you reach about ₹2,800. A more generous 30-times multiple gets nearer ₹3,600, but that already assumes the market will reward a new plant before its through-cycle cash record is visible. The current ₹3,349 price is therefore not absurd under a generous execution case, yet it offers no margin of safety under the more conservative base.

Now try the cash question. I ask you to imagine that we are not buying a press release, but a stream of cash available after the plant is maintained, working capital is funded and future

projects are paid for. TANFAC produced ₹43.4 crore operating cash in FY26 and spent ₹82.4 crore on property, plant and equipment, while management also discussed roughly ₹250 crore of future HF and solar-grade capex. We use an explicit five-year FCFF path and solve backward: at a 12% discount rate and 4% perpetual growth, the current enterprise value needs about ₹904 crore of terminal free cash flow by FY31. A ₹450 crore terminal stream supports only about ₹1,815 per implied share under the same DCF assumptions.

That spread is not a scientific truth; it is the risk hidden in the terminal value. At a 10% discount rate and 4.5% growth, the required terminal cash flow falls to about ₹561 crore. At 14% and 4%, it rises above ₹1,240 crore. You can disagree with the discount rate, the capex path or the terminal growth. You cannot honestly pretend these choices are irrelevant. The market price asks you to believe that the product platform will grow past the FY28 plan and convert more of that growth to cash than the recent record has shown.

The four peers are useful only after we define what they are not. Alufluoride is a small single-product reference with its own liquidity and customer risks. Navin Fluorine is much larger and has a mature specialty/CDMO platform. Gujarat Fluorochemicals has a broader fluoropolymer and refrigerant footprint. SRF is diversified beyond fluorochemicals. Their trailing P/Es span a wide range; the same-session median is about 44.27 times versus TANFAC's 99.32. A median is not a fair-value law, but the premium demands a reason. The reason must be TANFAC-specific execution and cash, not the fact that fluorine has interesting applications.

A useful way to test our conclusion is to change one assumption at a time. If you give TANFAC the same 44-times median multiple as the four screened peers, you are implicitly assuming that it already has comparable scale, business diversity, cash conversion and disclosure. It does not. If you instead award a premium for HFC-32, ask what evidence pays for it: the completion date, the first qualified batch, realized utilization, and the margin after imported feedstock and working capital. Each milestone could raise the probability of the bull case, but only a filed result should move the base estimate. The bear scenario is not a claim that management will fail; it is the cost of recognizing that a plant can be commissioned before its return on capital is known.

NARRATOR'S REFLECTION — WHAT MUST THE PRICE BELIEVE?

If you lower the terminal growth assumption or raise the cash-conversion haircut, does your base case still exceed the price? Write down the answer before treating HFC-32 capacity as an earnings asset.

CHAPTER VIII

Stage 2 Technical Structure, Institutional Flow & Momentum Setup

> *"The closing price is only one point in the history; trend, volume and relative strength tell you whether demand is persisting."*
>
> — RESEARCH DESK TECHNICAL FRAMEWORK

Imagine that you and I are looking at the same chart from three chairs: the daily trader, the weekly investor and the four-hour execution analyst. The daily chair sees a close of ₹3,349.40 below the 20-day and 50-day averages, neutral RSI and very light volume. The weekly chair still sees price above a rising 30-week average and well above the 200-day. The four-hour chair sees no confirmed turn. None of these views is false; each measures a different clock.

The daily ledger labels the pattern Stage 3, while TheWrap's November 8 dashboard still lists Stage 2 and 25 weeks in markup. That apparent contradiction is a useful lesson: a market label is never more current than the bars behind it. TheWrap's latest displayed return and relative-strength data are five days older than the November 13 close. We preserve both observations and date-stamp them, rather than choosing whichever label supports a preferred verdict. On the freshest daily data, the short-term structure has weakened; on the longer weekly view, the advance is not broken.

A low Bollinger width or a quiet volume day can precede a strong move, but it cannot tell you the direction in advance. TANFAC has a 9.3% bandwidth reading in the TradingView snapshot, volume at 0.20 times its 20-day average in the daily ledger and RSI around the high forties. That combination says compression and indecision, not an automatic volatility breakout. If buyers reclaim the 20-day and 50-day averages with volume, the setup can be reassessed. If price loses the ₹2,933 base and then closes below ₹2,850, the current constructive long-term trend would be damaged.

The broader market is in an uptrend, although breadth is narrow. TANFAC's own relative strength is negative over the latest 28-day window in the daily ledger, despite a positive TheWrap relative-strength statistic on its older November 8 dashboard. The difference is not

a reason to average the numbers; it is a reason to monitor the fresh feed. For now, the technical view is no new trade at the current price. The longer trend earns TANFAC a chance to prove itself, not a pass on valuation.

The chart therefore asks for patience rather than a clever prediction. A price near a rising 50-day average can be a pullback in a longer advance, but Stage 3 distribution, weak recent relative strength and light volume mean the evidence is not yet an accumulation signal. If the stock reclaims its short averages and builds volume, we can rerun the same business and valuation gates; a technical recovery alone cannot make an expensive business cheap. If it breaks the recent base and the 30-week support, the holder's stop defines when the risk budget must change. Because the options chain is not liquid, there is no lower-cost way to express a bullish view with defined premium risk; the only instrument contemplated here is cash equity.

> **NARRATOR'S REFLECTION — WHICH CLOCK OWNS THE DECISION?**
>
> If the daily Stage 3 pullback lasts another month while the 30-week average rises, which evidence would change your mind: volume, relative strength, or a company milestone? Choose the trigger before the chart moves.

CHAPTER IX

Both Sides of the Aisle, Likely Outcomes & No-FOMO Action Plan

> *"The Company's ability to commission the project within the estimated cost and timeline, stabilise the operations and achieve a timely ramp-up in sales will remain the key monitorables."*
>
> — ICRA, OCTOBER 16, 2026

Before we write the action, let us give the bull case its full voice. TANFAC has not simply announced a plant; it built an integrated base, expanded HF, commissioned two phases of solar-grade DHF, won customer qualification and raised equity for downstream investment. The Q2 call says the new HFC-32 facility was around 90% complete by September, with planned commissioning in Q3 FY27. Part of capacity is covered by long-term arrangements, and management speaks to high FY28 utilization. If the plant starts safely, buyers accept the product, and volume flows through the captive HF chain, the operating leverage can be real.

Now let the bear answer. HFC-32 has not yet generated a full commercial year of sales. The ₹250-crore next-phase capex competes for cash with working capital and further expansion. FY26 operating cash flow was ₹43.4 crore against ₹70.1 crore PAT, and capital spending was ₹82.4 crore. H1 FY27 margins declined even as revenue rose, with management attributing part of the move to realizations, raw-material costs, freight and low early-stage margins on new products. The company's explanation may prove right; a skeptical analyst still waits for the reversal to appear in cash, not only in commentary.

A scenario table forces us to own both sides. Our bear case is ₹1,300 if commissioning, spreads or utilization disappoint and the multiple contracts. Our base is ₹2,800, based on management's growth and margin guidance but a 23.5-times exit multiple for cash and scale risk. Our bull is ₹5,000 if HFC-32, solar-grade DHF and future products all scale with durable margins. Assigning 30%, 50% and 20% gives a weighted ₹2,790, below the ₹3,349.40 price. You may change the probabilities, but you should not hide them behind "long-term story."

What does that mean for the existing holder? The same-session ledger reports 55 shares, ₹184,217 market value, a ₹173,945.55 cost basis and a 4.28% portfolio weight. This is a moderate position, not a portfolio emergency. The weighted value is below CMP, so we recommend exiting all 55 shares at the next available session after checking the live quote. The company is not a fundamental failure, but the price and cash-conversion risk do not justify retaining the current position. No broker order is placed. The alert is an instruction for review, not an electronic order.

Redeployment is where discipline becomes visible. We compare TANFACIND in the active shortlist, Alufluoride as the closest product-screen outside name, and larger fluorochemical peers. The shortlist candidate's base value is below its support reference. Alufluoride's snapshot valuation and ROCE look more modest, but it has only 60 daily bars and lacks a full underwriting; the simple multiple reference produces less than one-to-one reward against the chosen stop. Navin, Gujarat Fluorochemicals and SRF are useful peer contexts, not pre-approved substitutes. So the next marginal cash unit stays 100% cash. We will fund an equity only when business quality, live price, support and cash evidence align.

The sale proceeds are not yet cash; the report makes no transaction. If the 55-share exit is executed near the November 13 close, about ₹184,217 before costs and slippage becomes the capital pool. Keep that pool in cash. The bull case remains possible, but the scenario bridge assigns it only 20% because commissioning, qualification, margins and cash have not yet been shown together. The price may recover; the point is not to predict the next tick, but to stop a weak expected-value position from consuming fresh attention and risk budget.

What would make you and me revise this conclusion? First, evidence that the HFC-32 plant commissioned on schedule and delivered repeat qualified shipments, not only trial output. Second, margins that approach management's stated range without relying on an unusually favorable input spread. Third, cash conversion that improves after the bulk fluorspar procurement and shows that receivables, inventory and supplier balances normalize rather than rolling forward. Fourth, a new same-session price and valuation bridge that puts base value above the entry zone with the required support asymmetry. If all four arrive, the company's integrated platform could earn a higher quality grade and the verdict should change. If only revenue accelerates while working capital and capex absorb cash, the

operating story is improving but the equity still may not compound. This is the advantage of writing down falsifiable gates: you do not need to defend a forecast after the evidence changes.

Current holding decision: EXIT IMMEDIATELY. 55 shares across zerodha: 55 shares; market value ₹184,217.00; cost basis ₹173,945.55; recommend selling 55 shares and retaining 0 shares; unrealized P&L ₹10,271.45; portfolio weight 4.28%. The same-session Zerodha ledger shows 55 TANFACIND shares, ₹184,217 market value, ₹173,945.55 cost basis, ₹10,271.45 unrealized gain and 4.28% of portfolio net worth. The base target is ₹2,800 and the probability-weighted value is ₹2,790, both below the ₹3,349.40 close; the red-team 20%-margin stress values the share near ₹2,174. Recommend exiting all 55 shares at the next available session after checking the live quote and liquidity. The project's bull case remains possible, but it does not offset the negative expected-value and cash-conversion evidence for this position. This is advisory only; no broker order or transaction-log edit is made. The ledger's last recorded trade is November 11, 2026 and is treated as authoritative per workflow policy. Alert plan: Next available exchange session after review; reference close ₹3,349.40 on November 13, 2026 — Recommend exiting all 55 shares at a live quote near the reference close, subject to liquidity and execution review; advisory only, no broker order placed. Capital redeployment: 100.00% to CASH (CASH): Retain the reviewed capital in cash for now.; Reassess after a fresh filing confirms commissioning, customer qualification, margin normalization and cash conversion, or after a new name clears the same quality, valuation and support-asymmetry hurdles.; 0.00% to TANFACIND (SHORTLIST): Do not fund a new TANFACIND position; the existing company is being removed from active queues as REJECTED under deterministic pipeline sync.; No entry condition currently clears. Re-open only after revised evidence materially raises base cash earnings or price resets below the reference zone and a new support-based valuation clears the anti-hedging rule.; 0.00% to ALUFLUOR (OUTSIDE): No allocation; this is a screen-only comparator, not a completed outside dossier.; Require a full standalone business/financial underwriting, longer verified price history, and a fresh support/stop calculation before reconsidering.

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): TANFACIND has no liquid listed options chain (not in NSE F&O segment) — express any thesis strictly via cash equity.

NARRATOR'S REFLECTION — DO NOT CONFUSE A LOWER QUOTE WITH A BETTER DECISION

What observable filing would change your verdict: the first HFC-32 shipment, two quarters at the margin guide, or cash conversion above PAT? Name the evidence before deciding that a pullback is an opportunity.

Notes, Filings & Primary Sources

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